



An EM FX hedge for a tech unwind

The dollar reaction to a major tech sell-off is somewhat ambiguous. On the one hand, the resulting tightening of financial conditions could result in safe haven inflows. On the other, the Fed would likely see a dovish repricing and equity inflows into the US, an increasingly important source of financing for the US current account deficit, might come under pressure.

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Although the cross isn't typically traded that often, we see being short ILS/KRW as an interesting alternative. Last month, this hit record high levels and the cross has rallied an astonishing 50% since mid-2024, the same period where hyperscaler stocks saw dramatic gains ([Figure 1](#)).

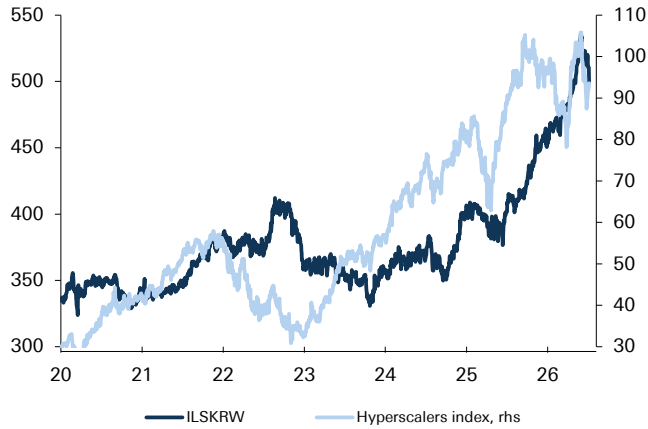
This might seem counter-intuitive. Both Israel and Korea are highly geared to the global tech cycle from an economic perspective (the former largely on account of software, and the latter both software and hardware). But an understanding of *how* tech translates into equity flows provides an answer. The shekel's correlation with US equities is highly positive. This owes to both the country's tech exports doing well (some of which are repatriated into domestic currency) and the domestic institutional investor base's long exposure in US tech equities. When these rally, local investors tend to rebalance some of their portfolios back into shekel or hedge their dollar exposure.

By contrast, while the won's traditional relationship with the Kospi was positive, this has changed over recent months ([Figure 2](#)). As our colleagues in Asia have helpfully illustrated in recent [notes](#), tech-led gains in the Kospi have led foreign investors to rebalance *away* from Korean equities or hedge more of their won exposure. Domestic rebalancing and hedging drives the shekel, foreign rebalancing and hedging has recently been driving the won. This is very evident in relative equity flows ([Figure 3](#)).

In the event of a big tech sell-off this cross could see a sharp pullback. It already matches the world's most expensive currency on our models and the world's cheapest ([Figure 4](#)).

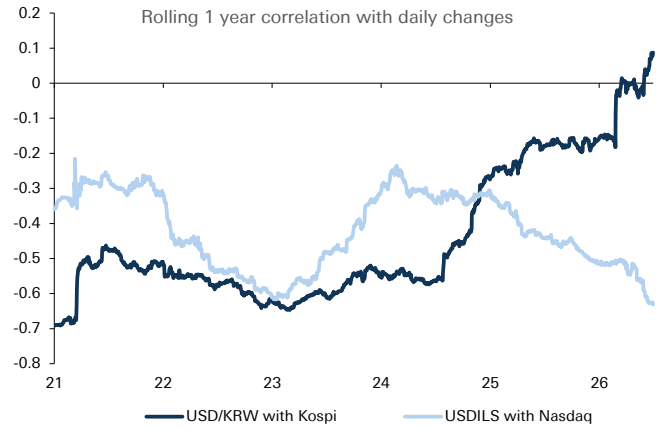


Figure 1: The dramatic gains in ILSKRW has coincided with the tech cycle



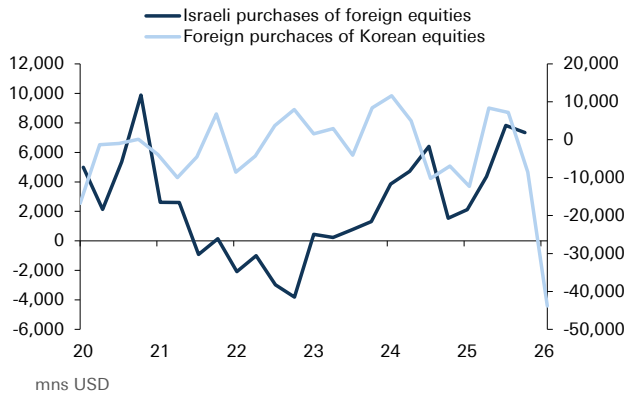
Source : Deutsche Bank, Bloomberg Finance LP

Figure 2: Shekel correlations with tech very positive, but they are now negative for KRW



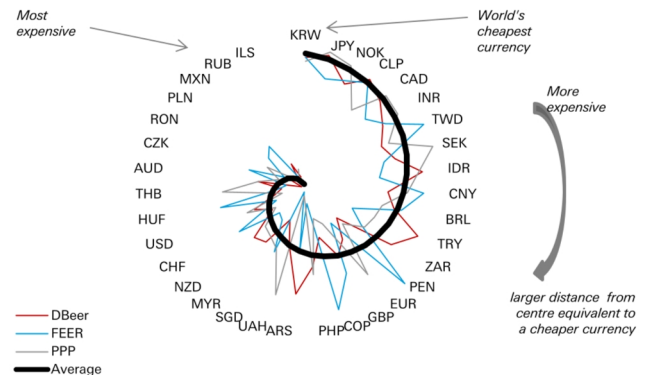
Source : Deutsche Bank, Bloomberg Finance LP

Figure 3: Israeli domestic investors drive the shekel through rebalancing and hedging while foreigners have been driving the won



Source : Deutsche Bank, Haver Analytics

Figure 4: ILSKRW is the most expensive cross in the world



Source : Deutsche Bank



Appendix 1

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